

**BYLAWS
OF
FRANCHISE ADVISORY COUNCIL
OF
ANYTIME FITNESS**

ARTICLE 1.

PURPOSE

The purpose of these bylaws is to establish the Franchise Advisory Council for the Anytime Fitness system. The Council's purposes are:

- A. To advise Anytime Fitness, Inc. (the "Franchisor") on matters on which advice and consultation is requested by the Franchisor, which may include but not be limited to communications, operations, promotions, and development of new products and services;
- B. To promote a mutual understanding between the Franchisor and its franchisees on issues of concern to either regarding the Anytime Fitness franchise system;
- C. To provide an organization through which members can communicate with the Franchisor, and to which the Franchisor can communicate to Members; and
- D. To facilitate compliance by Members with their franchise agreement with the Franchisor.

ARTICLE 2.

MEMBERS

2.1) **MEMBERSHIP.** Membership is available to and automatic for franchisees of the Franchisor whose franchise is located in the United States and Canada. Membership automatically transfers along with any transfer of the franchise that is the basis for the membership; and may not otherwise be transferred.

2.2) **VOTING BY MEMBERS.** Each Anytime Fitness club that is open and operating as of the last day of a month preceding the date of any vote by the members of the Advisory Council shall have one vote on all matters that are presented for a vote of the Members of the Advisory Council. Voting rights are attributed to the Member such that Members who own multiple Anytime Fitness clubs have only one vote, total. Voting rights are not transferable. No vote by the Members shall bind any individual Member or the Franchisor, and no vote by Members may amend any agreement to which the Franchisor or any individual Member is a party.

2.3) **GOOD STANDING REQUIREMENTS.** All franchisees of the Franchisor shall be considered members of the Council so long as they continue to have a valid franchise agreement in effect with the Franchisor. However, a Member shall not be considered to be in good standing if it is not in compliance with the provisions of its franchise agreement with the Franchisor, and the Franchisor so advises the Board of Advisors of the Council. In addition, the

Commented [SS1]: DU- I did not make your changes here – this section deals with members, not the Board of Advisors. All franchisees are members, your comments pertain to the Advisory Council in Article 4.

Franchisor and the Board of Advisors may together establish other criteria that Members must meet to remain in good standing. A Member that is not in good standing will have its voting rights suspended until it brings itself back into good standing.

2.4) **TERMINATION.** Membership automatically terminates when the Member's franchise agreement with the Franchisor expires or ~~terminates~~.

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ARTICLE 3.

MEETINGS OF MEMBERS

There will be no general meetings of Members. As franchisees of the Franchisor, Members are expected to attend the annual convention of the Franchisor, and such other franchisee meetings as may be called from time to time by the Franchisor.

ARTICLE 4.

ELECTION OF BOARD OF ADVISORS

4.1) **OVERVIEW.** The Council shall have a Board of Advisors that will serve as a communications liaison between the Franchisor and the Members. The Franchisor shall divide the United States into Regions, and there will be one advisor selected to represent the franchisees in each Region of the country.

4.2) **ESTABLISHMENT OF REGIONS.** ~~Initially, the~~The Regions shall be divided as set forth in Appendix A hereto. From time to time, the Franchisor may alter the Regions, and/or increase or decrease the number of Regions, in its sole discretion, but there will never be less than five Regions, nor more than ~~seven-nine~~ Regions, and the Franchisor will use reasonable efforts to maintain a balance of Anytime Fitness clubs in each Region, taking into account existing clubs and clubs projected to open. Any changes in Regions will be announced by the Franchisor no later than April 30 of any year, will be effective immediately and will remain in effect for at least one full year; provided, however, that no changes in the establishment of Regions will affect the ability of a person properly elected to the Board of Advisors to continue to serve through the remainder of his or her then current term (even if the person's club is no longer in the Region from which he or she was elected).

4.3) **QUALIFICATIONS TO BE A MEMBER OF THE BOARD OF ADVISORS.** Only an owner of a Member in good standing is eligible to be a candidate for election to, or a member of, the Board of Advisors. An owner includes a shareholder, member or partner who owns not less than twenty-five percent (25%) of the voting and equity interest of a corporation, limited liability company or partnership that is a Member. No more than one owner of a Member may serve as a member of the Board of Advisors at a time (regardless of the number of franchises owned by the Member, or the number of votes held by the Member). Any person elected to the Board of Advisors must be the owner of a franchise within the Region from which he or she is elected at the time of his or her election.

4.4) **ELECTION OF BOARD OF ADVISORS.** In May or June of each year, the Franchisor shall hold elections among franchisees in each Region that is represented by a Member of the Board of Advisors whose term expires on July 31 of that year. The Franchisor

may establish procedures from time to time for nomination of Members to serve on the Board of Advisors, and for the method of election. The person receiving the highest number of votes cast in each Region will be considered elected to the Board of Advisors from that Region; provided, however, that if there is an election in a Region and no owner within that Region receives at least one-third of the votes of the Members in the Region, the Franchisor shall conduct a run off election among the two highest vote getters in the Region, and the person then receiving the majority of the votes cast in that run off election will be considered elected to the Board of Advisors. Each person elected to serve a Region or appointed to an "At Large" position will have a three year term on the Board of Advisors, commencing on August 1 of the year in which they join the Board. Terms on the Board of Advisors are not transferable by advisors. The members of the initial Board of Advisors shall be selected by the Franchisor, with each Region represented by one owner within that Region. The initial advisors shall have terms that expire on June 30, 2007. In April or May of each year, the Franchisor shall hold elections among franchisees in each Region that is represented by a Member of the Board of Advisors whose term expires on June 30 of that year. The Franchisor may establish procedures from time to time for nomination of Members to serve on the Board of Advisors, and for the method of election. The person receiving the highest number of votes cast in each Region will be considered elected to the Board of Advisors from that Region; provided, however, that if there is an election in a Region and no owner within that Region receives at least one-third of the votes of the Members in the Region, the Franchisor shall conduct a run off election among the two highest vote getters in the Region, and the person then receiving the majority of the votes cast in that run off election will be considered elected to the Board of Advisors. Each person elected will have a three year term on the Board of Advisors, commencing on July 1 of the year in which they are elected; provided, however, that the persons elected in 2007 from Regions 1 and 2 shall serve only a one year term, ending June 30, 2008, and the persons elected in 2007 from Regions 3 and 4 will serve a two year term, ending June 30, 2008.

4.5) **CONSECUTIVE TERMS.** A person may serve no more than two (2) full consecutive terms. This provision shall not prevent a person who initially serves less than a full term (either by appointment, elected or At Large) from serving two full terms at the end of their initial partial term. No person may be elected by the Members to serve consecutive three year terms. This provision shall not prevent a person who was initially elected to serve less than a full three year term, or a person who was elected to fill a vacancy, from being elected to serve a full three year term at the end of his or her initial term.

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4.6) **CHANGES IN NUMBERS OF ADVISORY BOARD MEMBERS.** If the Franchisor increases the number of Regions, the Franchisor may appoint a qualifying person to serve as a Member of the Board of Advisors from the new Region(s). The term of that person's appointment will end on ~~June 30~~July 31 of the year in which Region ~~5-7~~ holds elections for its Advisor, at which time the new Region(s) will hold elections for its Advisors. However, no changes in the establishment of Regions (including a reduction in the number of Regions shall affect the ability of a person properly elected to the Board of Advisors to continue to serve on the Board of Advisors for the remainder of his or her then current term.

4.7) **REMOVAL AND RESIGNATION OF ADVISORS.** An advisor may resign from the Board of Advisors at any time, upon notice to the Franchisor. In addition, any advisor who is not an owner of an Anytime Fitness franchise in good standing as a Member of the Advisory Council shall be suspended as a member of the Board of Advisors and if such

suspension is not lifted within 90 days from the date it commences, the person shall automatically be removed from the Board of Advisors. A suspension may only be lifted upon confirmation by the Franchisor that the person is again the owner of a Member in good standing in the Region. In addition, if an Advisor misses two consecutive meetings of the Board of Advisors, he or she shall be automatically removed from the Board of Advisors. A person so removed may be considered for appointment to fill the vacancy then created, but if the person is reappointed, that person may not be re-elected by the Members to serve another consecutive term on the Board of Advisors. If an advisor is removed or resigns, the Franchisor may appoint another Member to the Board of Advisors to finish out the exiting advisor's remaining term.

4.8) **VACANCIES.** Vacancies on the Board of Advisors shall be filled by a vote of (i) the remaining members of the Board of Advisors, with each member having one (1) vote, plus (ii) the Franchisor, who shall also have one (1) vote. The person receiving a majority of the votes cast by the foregoing persons shall serve on the Board of Advisors for the remaining duration of the term of the Advisor in whose place the person is appointed; provided, however, (x) if the remaining term is less than three months, then the position shall remain vacant for the remaining term; (y) the person appointed must be a person who would have been qualified at the time of ~~his~~ their or her appointment to be elected to the Board of Advisors; and (z) the person elected must be the owner of a franchise within the Region that originally elected the person whose seat is being filled. If no Member runs for election to a vacant position on the Board of Advisors, the Franchisor may appoint a qualifying person to serve as an advisor from the Region.

ARTICLE 5.

BOARD OF ADVISORS

5.1) **DUTIES OF ADVISORS.** The advisors shall serve in an advisory capacity to the Franchisor. Under no circumstances may the Advisors, individually or acting as the Board of Advisors, take any action to individually bind the Franchisor or any Member, or to amend any agreements to which the Franchisor or any Member is a party. As a member of the Board of Advisors and of any committee, each advisor must act in good faith, in a manner the director believes to be in the advisory council's best interests, and with care, including reasonable inquiry, as an ordinarily prudent person in a similar position would use in similar circumstances. An advisor should try to represent the interests of the entire membership.

5.2) **DATES OF MEETINGS.** Unless the Franchisor sets a different schedule, the Board of Advisors shall meet in person twice a year. One such meeting ~~shall~~ may be held in conjunction with the Franchisor's ~~annual meeting or~~ convention for franchisees and ~~will~~ may take place immediately prior to that meeting or convention. The other meeting shall be at a time and place set by the Franchisor; ~~provided, that absent a vote to the contrary by the Board of Advisors, that meeting shall not take place within four months of the annual franchisee meeting or convention of the Franchisor.~~ The Board of Advisors may also meet by telephone, separate from the in-person meetings; provided, however, the telephonic meetings must be called and conducted in the same manner as in-person meetings as set forth in paragraph 5.4.

5.3) **QUORUM.** A majority of the advisors must be present for a quorum to exist. A majority of the advisors present, even if no quorum is present, may adjourn a meeting to another time and place. If the meeting is adjourned for over 24 hours, then notice of adjournment to the

new time or place must be given to advisors who were not present at the time of the adjournment. If a quorum is present at the beginning of the meeting, the remaining persons present may continue to conduct business as a quorum even if one or more of the advisors leave the meeting.

5.4) CONDUCT OF MEETING.

(a) Meetings of the Board of Advisors may only be called by the Franchisor. The Franchisor shall provide at least ten days notice to each of the advisors as to the time, date and place of the meeting.

(b) Members of the Board of Advisors are expected to participate in person at each meeting of the Advisory Council, unless a telephonic meeting is called. However, the Franchisor may permit advisors to participate by conference call or video conference under extenuating circumstances.

(c) Each member of the Board of Advisors shall have one vote on all questions coming before the Board of Advisors. No proxies are permitted. All action taken by the Board of Advisors, or recommendations of the Board of Advisors, shall be taken based on the affirmative vote of the majority of the advisors present and voting on the issue.

(d) Any action the board is required or permitted to take may be taken without a meeting if all advisors individually or collectively consent in writing to the action. The written consent or consents must be filed with the minutes of the board. Action by written consent has the same force and effect as a unanimous vote of advisors.

(e) A representative of the Franchisor shall convene all meetings. The Franchisor shall, however, solicit topics from each member of the Board of Advisors for the agenda for the meeting prior to the date of the meeting. No later than upon commencement of the meeting, the Franchisor shall distribute an agenda for the meeting, which should include ideas submitted by the Franchisor or members of the Board of Advisors, or general Members of the Advisory Council.

(f) A representative of the Franchisor shall serve as recording secretary at each meeting. The Franchisor shall provide each of the members a copy of the minutes of each meeting within a reasonable time following conclusion of the meeting.

(g) In a question about how to conduct a meeting or an aspect of a meeting, when not addressed by these Bylaws, the latest edition of Robert's Rules of Order governs.

5.5) EXPENSE REIMBURSEMENT. The Franchisor will establish reasonable guidelines for the reimbursement of expenses of members of the Board of Advisors attending meetings of the Board of Advisors called by the Franchisor. The Franchisor shall be responsible for reimbursement of such expenses in accordance with its policies. The Franchisor shall also be responsible for payment of all meeting costs (but this provision shall not apply to costs incurred based upon a vote of the majority of the members of the Board of Advisors without agreement by the Franchisor).

5.6) **COMMITTEES.**

(a) The Board of Advisors may by resolution create one or more committees to serve at the pleasure of the Board. Committees can include employees of general Members who are not members of the Board of Advisors, but at least a majority of each committee must consist of persons who are members of the Board of Advisors. Appointments to these committees are by majority vote of the advisors. The advisors may also appoint one or more advisors as alternate members of a committee to replace any absent member at any committee meeting.

(b) Any board committee, to the extent provided in the resolution of the board, may have any authority of the board except that a committee cannot have authority to and cannot purport to (1) approve action requiring approval of the Members; (2) appoint board committees or fill vacancies on the board or on any committee having authority of the board; (3) amend or repeal board resolutions which state that they are not amendable or repealable; or (4) amend, repeal or adopt Bylaws.

5.7) **CONFLICT OF INTEREST.** No advisor shall vote on any matter in which he or she, or any entity (such as a corporation, limited liability company, limited liability partnership, general or limited partnership, trust or estate) in which he or she has an ownership interest, is financially interested in, except to the extent that the matter financially affects all Members of the Advisory Council in general.

ARTICLE 6.

AMENDMENTS

The Bylaws may be amended or repealed or new Bylaws may be adopted either by vote of a majority of all Members, or by vote of a majority of the Board of Advisors; provided, however, that no such amendment or repeal shall be effective unless also consented to by the Franchisor.

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REGIONS

Region 1 Minnesota, Wisconsin, Iowa, North Dakota, and South Dakota

Region 2 Nebraska, Kansas, Missouri, Michigan, Illinois, Indiana, And Ohio

Region 3 Hawaii, Alaska, Washington, Oregon, California, Nevada, Montana, Idaho, Wyoming, Utah, Colorado, Arizona, New Mexico

Region 4 Texas, Oklahoma, Louisiana, Arkansas, Mississippi

Region 5 Virginia, West Virginia, Maryland, District of Columbia, Delaware, Pennsylvania, New Jersey, New York, Connecticut, Rhode Island, Massachusetts, Vermont, New Hampshire, Maine, Grand Cayman

Region 6 Canada – Ontario, Manitoba

Region 7 Canada – British Columbia, Alberta, Saskatchewan, Northwest Territories

Region 8 Florida, Georgia, South Carolina, North Carolina, Alabama, Kentucky and
Tennessee

~~INITIAL REGIONS~~

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